

Before the
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-21

MSRF, INC. v. YANG MING MARINE TRANSPORT CORPORATION

RESPONDENT'S SUR-REPLY

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RESPONDENT'S SUR-REPLY

Yang Ming Marine Transport Corporation (“Respondent” or “Yang Ming”) hereby submits it Sur-Reply to the July 3, 2023 Reply Brief (“Reply”) of MSRF, Inc. (“Complainant or MSRF”).¹ We also identify (i) new arguments/evidence that MSRF first raised on reply, which MSRF admits violate “the ‘well-settled’ rule that arguments raised for the first time in a reply brief are waived,” Reply at 2, and (ii) some of MSRF’s demonstrably untrue statements of fact.²

1. **46 U.S.C. 41104(a)(9)(Count IV)**. Abandoned per MSRF.
2. **46 U.S.C. 41102(c)(Count I)**. Respondent demonstrated in its Opposition that the Commission has long, and consistently, held that matters dealing with the “transportation” function of ocean carriers are outside the scope of 46 U.S.C. 41102(c), which applies only to “services performed at the terminal.” *Los Angeles By-Products Co. v. Barber S.S. Lines*, 2 U.S.M.C. 106, 113-14 (1939). In so doing, Respondent cited and discussed ten cases. Only three of them are even mentioned by Complainant, which apparently has no purported distinction of, or response to, the remaining seven. We address the three.

¹ References herein to Opening Brief mean Complainant’s Opening Brief, filed on April 21, 2023; references to Opposition mean Respondent’s Opposition Brief, filed June 14, 2023.

² Space does not permit us to address them all. We especially ignore most of MSRF’s obvious misreadings of the email exchanges.

MSRF argues that *D.I. Piazza v. West Coast Lines, Inc.*, 3 F.M.C. 608 (1951) was not specifically about a carrier failure to fulfill the MQC, but a different contract dispute. We respond: “So what”? What matters is not the particular nature of the contract dispute, but rather, the Commission’s explicit holding that 41102(c) **does not** apply to activities relating to the transportation function (which service contracts indisputably are), but rather, **is limited to** a carrier’s terminal activities. This is confirmed by many other cases cited by Respondent but struthiously ignored by Complainant.³

Complainant’s attempt to distinguish *Definition of “Package” Under the Carriage of Goods by Sea Act*, 23 S.R.R. 111(1985) is even more specious. Instead of addressing what the Commission said about 41102(c) Complainant tries to distract the Presiding Officer by deflecting to the wholly irrelevant aspect of the case relating to COGSA We remind the Presiding Officer of the Commission’s specific statement in *Definition of Package*:

Section 17 of the 1916 Act and Section 10(d)(1) of the 1984 Act [direct predecessors of 46 U.S.C. 41102(c)] deal with ‘just and reasonable regulations and practices’ relating to the ‘receiving, handling, storing, or delivery of property’ Sections 17 and 10(d)(1) do not empower the Commission to address unjust or unreasonable carrier activity that relates to the transportation of property. . . 23 S.R.R. at 114 (emphasis in original).

³ See, e.g., *Los Angeles By-Products Co.*, supra (41102(c) only “relates to services performed at the terminal as distinguished from the carrying or transporting by the vessel”) *Bills of Lading - Incorporation of Freight Charges*, 3 U.S.M.C. 111, 113 (1949) (41102(c) “is confined to the receiving, handling, storing, or delivering of property to the exclusion of transportation”); *Time Limit on the Filing of Over Charge Claims*, 10 F.M.C. 1, 7 (1966) (41102(c) is “confined to forwarding and terminal operations”); *Beaumont Port Commission v. Seatrain*, 3 F.M.B. 556, 561 (1951) (carrier transportation practice “is not a regulation or practice connected with the receiving handling storing or delivering of property”); *North River Insurance Co. v. Federal Commerce and Navigation Co., Ltd.*, 20 S.R.R. 1078, 1084 (ALJ 1981) (46 U.S.C. 41102(c) has “ been limited to the operations of terminals and forwarders”); *Heavy Lift Practices and Charges of Hapag-Lloyd*, 17 S.R.R. 505, 527-33 (ALJ), adopted 18 S.R.R. 1491 (1977); *ANERA and Its Members - Opting Out of Service Contracts*, 28 S.R.R. 1215, 1229 (FMC 1999) (41102(c) appears inapplicable to service contract rates, as opposed to detention/demurrage charges).

As the words quoted above make clear, this statement was explicitly about 41102(c), not COGSA; the Commission stated quite clearly that 41102(c) and its predecessors “do not empower the Commission to address unjust or unreasonable carrier activity that relates to the transportation of property.” There can be no possible dispute, and Complainant does not try to raise one, that the Service Contract, including the MQC, “relates to the transportation of property.”

Complainant falsely suggests that *J.M. Altieri v. Puerto Rico Ports Authority*, 7. F.M.C. 416, 419 (ALJ 1962) supports its position. It does not (even if it could countermand the many decisions before and after). *Altieri* does not say, as Complainant asserts, that all “shipping practices” are within scope of 41102(c). Rather, it makes a much different statement, that *only* “shipping practices” are covered thereby. Thus, “shipping practices” is used as a term of exclusion, not inclusion – i.e., if it is not a shipping practice it is not covered by 41102(c) and if it is a “shipping practice” it may or may not be within 41102(c). This is confirmed by further discussion in the case, which distinguishes between what happens with respect to transportation of the cargo and what happens before/after the transportation function.⁴

Complainant next suggests that the Commission has been overruled, *sub silentio*, by two decisions of the Commission’s ALJs. This is a brand-new argument, not made in MSRF’s Opening Brief and based on cases not cited therein. It is, in any event, wrong, even assuming FMC ALJs are authorized to overrule the Commission (expressly or otherwise).

Complainant first cites a preliminary ruling in *MCS Industries, Inc. v. MSC*, 2022 WL 458569 (ALJ 2022). But MSRF fails to inform the Presiding Officer that the ALJ’s Initial Decision

⁴ “It has been held, to give another example, that claims for loss of or damage to cargo or for damages due to failure to follow routing instructions do not fall within the Act. On the other hand, the shipping agencies have taken cognizance under Section 17 of such practices as the unfair charging of demurrage and the refusal by a carrier that was claiming both dead freight and detention damage, to deliver, the cargo.” *Id.* at 419 (citations omitted).

is now being reviewed by the Commission *de novo* on exceptions, which vitiates any use of the initial decision (and decisions subsumed therein) as a precedent. 46 C.F.R. 502.227(a)(5)(“Upon the filing of exceptions to . . . an initial decision, such decision shall become inoperative until the Commission determines the matter”).

In any event, *MCS* does not say anything relevant. Unlike this proceeding, in *MCS* the “[a]llegations in the amended complaint extend beyond allegations of breach of the service contract to allege practices that violate the Shipping Act, such as failing to maintain or provide booking reports, systematically preferring higher-priced cargo, and coercing surcharges.” (Slip Op. at 15-16). Complainant, by contrast, does not allege any of these practices.⁵ Rather, it repeatedly rests on the sole claim that Yang Ming breached its contract with MSRF.⁶

Whatever else one might say about *MCS*, it indisputably ***did not*** address the defense raised by Yang Ming here – that service contracts and other transportation functions are not within 41102(c); nor did it discuss the cases cited by Yang Ming in support thereof. *MCS* was not about the definition of 41102(c), but rather about Respondent’s argument that Complainant’s claim thereunder was pretermitted by 46 U.S.C. 40502(f). Respondent there apparently did not raise the scope of 41102(c); nor, apparently, did it cite any of the cases cited in the Opposition.

⁵ Complainant vaguely suggests that Yang Ming was favoring large shippers (Reply at 11), but any such argument was not made in the Opening Brief, so waived. It is also false as a statement of fact. Mr. Goeke’s statement means nothing more than the mathematical fact that, if Yang Ming treated everyone precisely the same, a 50 percent cut in an MQC of 100 would leave 50 TEUs; while the same cut in an MQC of 5,000 TEUs would still leave 2,500 TEUs.

⁶ Apart from the repeated references to breach of contract in the Complaint itself and in the Opening Brief, Complainant has reaffirmed that this case is only about an alleged breach of contract, both in its Reply and in its July 13, 2023 Response in Opposition to Respondent’s Motion to Strike. See Reply at 1 (Yang Ming “refused to abide by the minimum quantity commitment (“MQC”) as required by the terms of the Service Contract”), 2 (“Yang Ming clearly violated the MQC in the Service Contract”), 4 (“evidence . . . shows Yang Ming’s refusal to fulfill its service commitments”), 5 (“Yang Ming Violated the MQC Provisions of the Contract”). Referring to a breach as a “violation” of the contract is simply more word salad designed to avoid the obvious – in common parlance – a violation of a contract is a breach. MSRF was more straightforward in its Response, stating: “Yang Ming violated sections 41102(c), 41104(a)(2), and 41104(a)(10) of the Shipping Act ***through their breach*** of the Parties’ Service Contract”) (emphasis added).

MSRF fares no better with its citation to *OJ Commerce v. Hamburg-Sud*, Docket No. 21-11 (I.D. June 7, 2023), which is also on exceptions and therefore inoperative. There, as in *MCS*, the Respondent did not raise the question whether 41102(c) applies to the transportation function. Accordingly the ALJ had no reason to address the issue or the case law, and she did not.

Even if the Commission did have jurisdiction over MSRF's claim under 41102(c), MSRF has still failed to show a violation. It has not established a practice and certainly has not established that any such hypothetical practice was "unjust or unreasonable." In a new argument not found in its Opening Brief, Complainant claims to have found a practice in the fact that Yang Ming and MSRF mutually agreed to amend the Service Contract to reduce the MQC. Reply at 6. It is, however, passing strange to assert that an action that was not taken unilaterally by the carrier, but rather, with the express agreement of the shipper, constitutes a practice of the carrier. MSRF admits that it freely entered into the amendment. MSRF Reply to RPFF32. Moreover, the amendment of the Service Contract was a singular event – a one-time action between both Yang Ming and MSRF. As demonstrated in the Opposition, that is not nearly sufficient to make out a practice.⁷

Complainant then admits that the amendment here was a "just and reasonable" action. Reply at 6. It states that the purposes of such an amendment are "(i) reducing the number of TEUs or FEUs that a shipper is required to tender to a carrier and eliminating the possible assessment of liquidated damages on the shipper and (ii) reducing the number of TEUs or FEUs that the carrier is required to provide the shipper." Such an amendment, it says "is a just and reasonable practice." Id. The amendment here was made exactly for the reasons MSRF identifies and in exactly the manner it asserts is "just and reasonable." QED.

⁷ Counsel for MSRF testifies that such amendments are "commonplace." It cites no evidence for that testimony. And saying that *other* carriers do it too does not establish a practice of Yang Ming. Thus, the claim is neither founded in the record nor specific to Yang Ming.

3. **46 U.S.C. 41104(a)(2)(Count II)**. Respondent showed in its Opposition that Complainant's claim under 46 U.S.C. 41104(a)(2) is expressly barred by 46 U.S.C. 40502(f), which, states: "[u]nless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court." The Commission itself has made clear that this section plainly pretermits claims under 46 U.S.C. 41104(a)(2):

Claims under 46 U.S.C. 41104(a)(2) "are premised on the obligation to meet one's contract commitments and are therefore essentially breach of contract actions which [46 U.S.C. 40502(f)] renders not properly before the Commission in the absence of evidence offered by the complainant . . . that some extraordinary aspects of the allegation distinguish it substantially from a contract claim." *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, 28 S.R.R. 1635, 1645 (FMC 2000).

This statement by the Commission, which MSRF refuses to address, is clear and unmistakable – 46 U.S.C. 40502(f) precludes the FMC from addressing claims under 41104(a)(2), except in rare circumstances, involving "extraordinary aspects" that "distinguish it substantially from a contract claim." MSRF has not claimed, much less demonstrated, such extraordinary circumstances. Rather, as shown in the Opposition and at n.6, above), MSRF expressly relies in the Complaint, its briefs, and the recent Response to Yang Ming's Motion to Strike, on the assertion that Yang Ming breached the Service Contract.

Complainant again seeks refuge in the new argument that an ALJ may overrule the Commission. It refers to "decisions" by the ALJs. but then cites only one, *MCS* (not cited in the Opening Brief). *MCS* is not a viable precedent, because it is currently "inoperative." The opinion also did not address, much less distinguish, the sections of *Cargo One* quoted above, where the Commission announced that the FMC generally lacks jurisdiction over claims pursuant to 46 U.S.C. 41104(a)(2). Nor did *MCS* (or MSRF) address the following Commission statement in *Cargo One*:

”For [46 U.S.C. 40502(f)] to have meaning, it must have been intended to preclude the filing of *some complaints of Shipping Act violations*, and *not just breach of contract claims*, as such claims would not be actionable before the Commission in any event.” 28 S.R.R. at 1644 (emphasis added).

Thus *Cargo One* squarely recognizes that: (i) 46 U.S.C. 40502(f) must preclude “some complaints of Shipping Act violations,” and (ii) the Shipping Act claims precluded by that section specifically include claims under 41104(a)(2).

Other FMC ALJs (unmentioned by MSRF) have recognized the significance of *Cargo One* for claims under 41104(a)(2). Judge Dolan, in his remand decision in *Cargo One*, stated: “it seems clear that the Commission intended that the ALJ dismiss the complaint herein as to [46 U.S.C. 41104(a)(2)].” 29 S.R.R. 620, 621 (ALJ, Admin. Final 2002). And in *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, 33 S.R.R. 512 (I.D., Admin. Final 2014), Judge Guthridge likewise dismissed claims under 46 U.S.C. 41104(a)(2). He concluded that complainant’s claims, including: (i) that respondent had failed to observe certain terms of the contract; (ii) that actions by respondent made it impossible for complainant to book cargo, (iii) that respondent failed to provide necessary administrative support; and (iv) that respondent failed to address the MQC shortfall, could *not* be heard before the FMC, because they were all “inherently contract claims, not within the Commission’s jurisdiction to decide.” Id. at 528.⁸

4. 46 U.S.C. 41104(a)(10)(Count V). As demonstrated in the Opposition, Respondent did not “shut out” MSRF. Yang Ming never stopped dealing with MSRF; nor did it ever refuse to do business with MSRF. Quite to the contrary, Yang Ming made every possible effort to provide space to MSRF. As detailed in the Opposition, Yang Ming repeatedly offered space to MSRF, either to be refused by MSRF or for MSRF to make a booking then cancel.

⁸ Chairman Maffei has himself noted that contract disputes must generally be adjudicated in court. Reply Brief, Exhibit 1 at p. 3.

Complainant in its Reply (at 9) asks whether Yang Ming effectively stopped dealing with MSRF, but never tries to answer that question, or even say when Yang Ming stopped dealing.⁹ In fact, as MSRF admits, Yang Ming carried MSRF cargo up until the very end of the Service Contract, including three shipments in late April 2022 See MSRF Reply to RPFF51.

As explained in the Opposition, Yang Ming never refused anything. Rather, due to the extraordinary conditions of the time, discussed at length in the Opposition, Yang Ming was *unable* at times to provide space at the exact times, from the exact origin to the exact destination MSRF demanded. As Judge Wirth concluded in *OJ Commerce*, such an inability to provide service is a legitimate transportation factor for declining to book cargo.

Moreover, some reasons why Yang Ming could not always meet MSRF's narrow and exacting demands were that MSRF (or its overseas agent) made very late requests, when vessels were already filled with cargo booked earlier by other shippers, failed to book properly (including using an improper identification number), or repeatedly canceled/reshuffled bookings. Yang Ming offered MSRF space to/from other origins/destinations within the scope of the Service Contract, but MSRF obstinately declined, continuing to insist on an origin in Qingdao.

Contrary to MSRF's assertion (Reply at 8) that emails it has newly introduced (SCX_0001-SCX_0003) show that Yang Ming reneged on its commitment to provide the MQC, those emails actually show MSRF's unreasonable demands despite Yang Ming's repeated explanation that space was extremely limited and not always available in the time frames demanded by MSRF. They also show that Yang Ming did what it could to get MSRF space.¹⁰ See RPFF64.

⁹ On this issue, MSRF contradicts itself. It first says that MSRF cut it out "without warning" then asserts that Yang Ming told it six-weeks into the contract that it could not guarantee the MQC. Reply at 4, 11. In any event, as shown above, Yang Ming continued carrying MSRF cargo through the very last month of the contract.

¹⁰ As Mr. Goeke explained, "This is not a rate issue but a space/equipment issue. We aren't accepting increases in rates for space." SCX_000003.

The Reply introduces a new Exhibit 1 (an article published by the New York Times and quoting Mr. Reich). The article is of course unsupported hearsay and not within the realm of official notice with respect to its assertions. Further, at least two of Mr. Reich's statements quoted therein are demonstrably false. First: "The carriers refused to confirm bookings even when his company assented to special premium charges," (Exhibit 1, p. 1). The string of emails in SCX_0001-SCX_0003, shows, to the contrary, that Yang Ming declined to accept any premium from MSRF, explaining that the issue was space availability, not price. See MSRF admission of RPFF72. Second: Mr. Reich's statement that Yang Ming refused to negotiate a new contract with him. Yang Ming in fact signed a service contract with MSRF for 2022-2023.

In sum, MSRF has provided no evidence of a refusal to deal. We leave it to the Presiding Officer to decide who has more accurately represented Judge Wirth's opinion in *OJ Commerce*. We merely reiterate that the "evidence" here is far different from that introduced in *OJ Commerce*.

Nor has MSRF shown that any imaginary refusal to deal was unreasonable. Any such refusal was based on lack of space to meet MSRF's highly specific demands, which Judge Wirth classified as a legitimate transportation factor. MSRF relies exclusively on Counsel's *ipse dixit* that unreasonableness is shown by "MSRF's email requests for bookings and Yang Ming's refusal to comply." But the emails, themselves, including the new ones, actually show a completely different picture -- Yang Ming uniformly tried to accommodate all of MSRF's requests, but sometimes could not, given the chaotic effects of terminal and port closures resulting from the pandemic and MSRF's extreme and changeable demands. But even if the question were close, which it is not, it is MSRF that bears, and fails to meet, the burden of proof.

MSRF admits that the Service Contract did not require Yang Ming to “comply” with specific requests for bookings. Nothing therein obligated Yang Ming to provide space at any specific time or between any specific origins/destinations. Opposition at 8

In any event, inability to provide space is not a refusal to deal, as Judge Wirth concluded in *OJ Commerce*. Rather, she indicated, it is a legitimate transportation reason for declining to carry cargo, unless there is proof of a different reason, as there was there, but not here.

5. Reparations. Because MSRF has failed to prove a violation of the Shipping Act, there is no need to discuss reparations. We nevertheless demonstrate that Complainant’s arguments, mostly based on the testimony of counsel, are without merit.

MSRF in its Reply simply reiterates its hollow claim that it has established a right to reparations, as well as the amount. Its assertions plainly do not meet the burden of proof.

MSRF does not dispute, and therefore concedes, that its methodology for calculating actual injury is inconsistent with the Commission’s decision in *Government of the Territory of Guam v. Sea-Land Service, Inc.* Docket No. 89-26 (FMC 2005) that “average” damages cannot be used to determine “actual injury,” which is the only basis on which the FMC may award reparations. MSRF does not even mention the case. That Commission decision is dispositive, and no more need be said to dismiss MSRF’s request for reparations.

MSRF argues that even though it willingly entered into a service contract restricting the remedy for failure to meet the MQC, it is immune from that restriction. That is directly contrary to what the Commission said in *California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, 25 S.R.R. 1213 (FMC 1990) (*CSL*)(ignored by MSRF). MSRF relies solely on the ALJ decision in *OJ Commerce*. But ALJs may not overrule the Commission. And *CSL* did not involve **any** breach of contract claim, but rather claims under what is now 46 U.S.C. 41104(a)(10) (refusal to deal), and

46 U.S.C. 41102(d), and a former, now repealed, provision of the Shipping Act. There was no claim for breach of contract under the then-existing version of current 41104(a)(2) (failure to provide service in accordance with a tariff/service contract). Thus, *CSL* stands for the proposition that contract limitations **do** apply, even where the complaint is not based on a simple breach of contract.

Finally, MSRF tries to rehabilitate its exhibit calculating damages (“Damages Summary”), through the testimony of Counsel, which is neither admissible nor grounded in any foundation. MSRF counsel elides any mention of its switcheroo of the exhibit, when it violated the Presiding Officer’s Order of May 30, 2023 by replacing its Damages Summary with a new version differing in both pagination and substance.

Counsel says that the exhibit (as revised) “lists all shipments where MSRF paid freight charges in excess of the Service Contract Rates.” Reply at 10. Because the list includes more shipments than MSRF’s cumulative MQC with ocean common carriers, it goes without saying that MSRF necessarily paid more for shipments above its contract rights. All this shows is that MSRF distorted the damages calculation by including shipments that would in any event have moved at higher rates.

Counsel next testifies as to how the Damages Summary was prepared, something MSRF’s witness, Mr. Reich, should have done. Counsel expressly admits that MSRF calculated an “average excess charge per container” (Reply at 10), which is flatly inconsistent with *GovGuam*. Counsel’s statement that the per container charge is correct because MSRF converted everything to TEUs, is wrong, because price and container size are not correlated.

Counsel’s testimony that MSRF’s extrapolation from a pool demonstrates “actual injury” misrepresents the meaning of “actual.” Arbitrary assignment of alleged total damages to multiple parties is inherently **not** “actual” injury, as the Commission held in *GovGuam*. MSRF also assumes,

without basis, that every TEU is exactly like any other. But rates, terms, and conditions vary according to multiple factors, including commodity, origin, destination, and other factors.

Counsel for MSRF accuses Counsel Yang Ming's Counsel of "willful refusal to understand" the Damages Summary. Reply at 10. Quite to the contrary, we understand the document all too well, which is why we have been able to successfully rebut Counsel's inaccurate testimony.

Perhaps most perniciously, MSRF continues to ignore the entire issue of proximate cause, a term that goes unmentioned in both the Opening Brief and the Reply Brief. We demonstrated in the Opposition Brief that MSRF failed to prove proximate cause. And obviously it has no ability to do so, as it continues silent on this statutory requirement for reparations in its Reply Brief. MSRF makes no assertion that any of the shipments in its pool were rejected by Yang Ming, or even that they were offered to Yang Ming. It also conflates alleged Yang Ming shipments, HMM shipments, both Yang Ming and HMM shipments and shipments by unidentified other carriers.

Finally, as demonstrated in the Opposition Brief, the Damages Summary is an arithmetic mess, misstating the underlying documents and the number of TEUs for which Yang Ming might be held accountable. As demonstrated by the lifting reports, which Complainant itself cites, Yang Ming actually transported 17 TEUs of MSRF cargo. Yet MSRF has not reduced the number of TEUs for which it asserts Yang Ming owes reparations, still using 89.25 rather than 83 TEUs.

For the foregoing reasons, the Complaint must be dismissed with prejudice.

DATED: July 18, 2023

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on the 18th day of July, 2023, a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020 as follows:

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